Q4 Earnings Season Wrap-Up -- Technology Leads, Energy Lags

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Type: Sector Update
Rating: N/A (N/A)
Conviction: N/A

With 92% of S&P 500 companies having reported Q4 2025 results, this note summarizes key themes and implications for our fund positioning.

Sector Scorecard:
Technology: Beat rate 82%, median surprise +5.2%. AI infrastructure spending continues to accelerate, with hyperscaler capex guidance for 2026 up 35% on average. Semiconductor and cloud infrastructure names delivered the strongest results. Our technology overweight in the Equity Strategy (+350 bps vs benchmark) was the largest contributor to Q4 alpha.

Healthcare: Beat rate 71%, median surprise +3.1%. GLP-1 names (LLY, NVO) dominated, while traditional pharma saw mixed results from pipeline readouts. Managed care faced margin pressure from elevated utilization trends but beat lowered expectations.

Financials: Beat rate 78%, median surprise +8.4%. Investment banking recovery was the theme, with Goldman Sachs, Morgan Stanley, and JPMorgan all reporting strong advisory revenues. NII guidance was generally softer than expected across the group.

Energy: Beat rate 55%, median surprise -2.1%. The weakest sector by a significant margin. Oil price declines combined with production growth concerns weighed on results and outlooks. We have reduced our energy exposure across both strategies.

Portfolio Implications:
For the Alpha US Equity Strategy, we are maintaining our technology and healthcare overweights while reducing energy and adding selectively to financials. The strategy's active return for Q4 was +1.8% versus the S&P 500.

For the Absolute Return Income Strategy, the focus remains on high-quality yield with improving fundamentals. Telecom (VZ, T) and select utilities offer the best risk-adjusted income opportunities in the current environment.

Quant Signal Summary: Our model currently shows 68 stocks with UPGRADE signals and 45 with DOWNGRADE signals across our 500-stock universe. Net signal breadth is the most positive since March 2025.